Category
Introduction to Risk Management

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RISK MANAGEMENT FRAMEWORK

Learning Outcomes

- describe features of a risk management framework
- define risk governance and describe elements of effective risk governance

A **risk management framework** flows logically from the definition of risk management that was previously given: It is the infrastructure, process, and analytics needed to support effective risk management in an organization. This process should fully integrate the "risk" and "return" aspects of the enterprise into decisions in support of best achieving its goals within its tolerance for risk. Risk management is not a "one size fits all" solution; it is integral to the enterprise's goals and needs. Thus, it is best achieved through a custom solution. Despite customization, every risk management system or framework should address the following key factors:

- Risk governance
- Risk identification and measurement
- Risk infrastructure
- Defined policies and processes
- Risk monitoring, mitigation, and management
- Communications
- Strategic analysis or integration

Not surprisingly, these factors often overlap in practice. They are defined and discussed here.

Governance is the top-level system of structures, rights, and obligations by which organizations are directed and controlled. Normally performed at the board level, governance is how goals are defined, authority is granted, and top-level decisions are made. The foundation for risk management in the organization is set at the board level as well. **Risk governance** is the top-down process and guidance that directs risk management activities to align with and support the overall enterprise and is addressed in more detail in Sections 4–6. Good governance should include defining an organization's risk tolerance and providing risk oversight. Governance is often driven by regulatory concerns, as well as by the fiduciary role of the governing body. A risk management committee is another facet of governance; it provides top decision makers with a forum for regularly considering risk management issues. To achieve the best results for an organization, risk governance should take an enterprise-wide view. **Enterprise risk management** is an overarching governance approach applied throughout the organization and consistent with its strategy, guiding the risk management framework to focus risk activities on the objectives, health, and value of the *entire* organization.

Risk identification and measurement is the main quantitative core of risk management; but more than that, it must include the qualitative assessment and evaluation of all potential sources of risk and the organization's risk exposures. This ongoing work involves analyzing the environment for relevant risk drivers, which is the common term used for any fundamental underlying factor that results in a risk that is relevant or important to an organization, analyzing the business or portfolio to ascertain risk exposures, tracking changes in those risk exposures, and calculating risk metrics to size these risks under various scenarios and stresses.

timely. Management can measure and monitor risk, run scenarios, conduct statistical analysis, work with more complex models, and examine more dimensions and risk drivers as well as do it faster. This use of technology needs to be balanced with and supplement—not supplant—experienced business judgment. Technology has made risk infrastructure even more important and beneficial in managing risks.

Risk infrastructure refers to the people and systems required to track risk exposures and perform most of the quantitative risk analysis to allow an assessment of the organization's risk profile. Infrastructure would include risk capture (the important operational process by which a risk exposure gets populated into a risk system), a database and data model, analytic models and systems, a stress or scenario engine, and an ability to generate reports, as well as some amount of skilled and empowered personnel resources dedicated to building and executing the risk framework. With increased reliance on technology, more time and effort must be allotted to test data, models, and results in order to avoid the ironic outcome of the risk of errors coming from within risk systems.

Obviously, the scope of risk infrastructure will be related to the resources, or potential losses, of the organization. Individuals and smaller businesses may rely heavily on an external partner or provider for much of their risk infrastructure and analysis.

Policies and processes are the extension of risk governance into both the day-to-day operation and decision-making processes of the organization. There may be limits, requirements, constraints, and guidelines—some quantitative, some procedural—to ensure risky activities are in line with the organization's predetermined risk tolerance and regulatory requirements. Much of this is just common-sense business practice: updating and protecting data, controlling cash flows, conducting due diligence on investments, handling exceptions and escalations, and making checklists to support important decisions. In a good risk framework, processes would naturally evolve to consider risk at all key decision points, such as investment decisions and asset allocation. Risk management should become an integrated part of the business and not just a policing or regulatory function.

The process of *risk monitoring, mitigation, and management* is the most obvious facet of a risk framework, but also one of the most difficult. Actively monitoring and managing risk requires pulling together risk governance, identification and measurement, infrastructure, and policies and processes and continually reviewing and reevaluating in the face of changing risk exposures and risk drivers. It requires recognizing when risk exposure is not aligned with risk tolerance and then taking action to bring them back into alignment.[2]

Communication of critical risk issues must happen continually and across all levels of the organization. Governance parameters, such as risk tolerances and associated constraints, must be clearly communicated to, and understood by, managers. Risk metrics must be reported in a clear and timely manner. Risk issues must be reviewed and discussed as a standard part of decision making. Changes in exposure must be discussed so that action can be taken as appropriate. There should also be a feedback loop with the governance body so that top-level risk guidance can be validated or updated and communicated back to the rest of the organization.

Strategic analysis and integration help turn risk management into an offensive weapon to improve performance. Good risk management is a key to increasing the value of the overall business or portfolio. A risk management framework should provide the tools to better understand the how and why of performance and help sort out which activities are adding value, and which are not. In investing, rigorous analysis can support better investment decisions and improve strategy and risk-adjusted returns.

Exhibit 1:

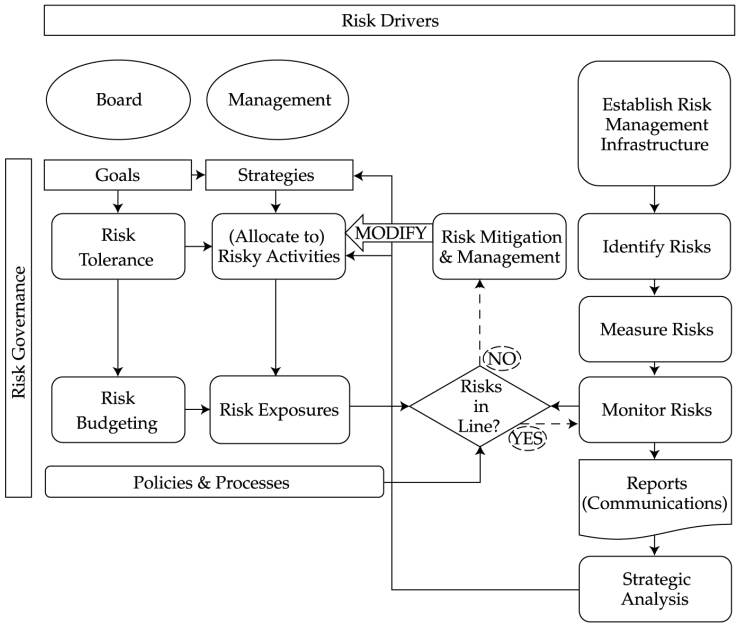

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Exhibit 1 illustrates the process of risk management for an enterprise, pulling all the described elements of the risk framework together. Although there are a very high number of risks faced by every organization, most organizations are primarily affected by a small number of key risk drivers, or primary underlying factors that create risk. Along the left side is risk governance, which represents board-level decisions and encompasses and affects the boxes immediately to its right. The governance body, often called a board, defines the goals of the organization and, in turn, decides on its risk tolerance. It may additionally provide guidance on how or where that risk is taken (risk budgeting). The board is also involved in setting high-level policies that will affect most risk management processes. These risk governance activities are a crucial keystone of the risk framework and will be discussed in detail in the next section. When the rest of the risk framework hinges off of these top-down governance elements and is focused on the goals of the entire enterprise (as shown here), the end result is effective enterprise risk management.

The role of management, shown in the middle column, is to plan and execute value-maximizing strategies consistent with their governance guidance. Each management activity in the framework flows not only from management (shown with the arrows) but also from the governance activities on the left. Thus, not only are management's strategies designed to achieve the board's goals, but management also allocates capital to risky activities (its business or investing choices) to execute its strategies consistent with the defined risk tolerance. The risk exposures that result from management's choice of activities should also be aligned with the governing body's risk budget. In addition, management participates actively in setting or implementing policies and establishing procedures that relate to when, how, how much, and by whom each of the other elements of the risk framework are performed.[3]

The rest of the risk management framework comprises a number of important risk activities to help the business achieve all of its strategic and governance goals and mandates. These other elements to implement risk management are shown in the far right column of the illustration. Driven by its need to establish a risk management program to support the enterprise's goals, management would provide the requisite resources for risk management activities by establishing a risk management infrastructure. With risk processes defined and risk infrastructure in place, risks are then identified and measured, which is a regular and continual process of translating risk exposures (produced by the risky activities) into meaningful and generally quantitative risk metrics.

The next major steps—risk monitoring, mitigation, and management—are where much of a firm's day-to-day risk management activity is focused. These activities are split across

budget. This process involves evaluating the actual risk exposures compared with the organization's risk policies and procedures to ensure that everything is in compliance. If the answer is "no," then risk mitigation and management actions need to be taken to modify risk levels and to bring them back into compliance. There are a variety of methods to accomplish this task, which are addressed in Sections 9–11. Whatever the method, management's allocation of the risk budget to risky activities will be altered by this modification, which includes changing the organization's risk exposures, starting the circle again through the steps on the right, and re-checking to see if risk levels are now consistent with risk policies.

When risks *are* in line with limits, policies, tolerances, mandates, and so on, then the process moves back to continuous monitoring followed by communicating risk levels.[6] This communication, at a minimum, includes reporting key risk metrics on a regular and timely basis across the organization to assist management in its decision-making process and the board in fulfilling its governance duties. Finally, strategic analysis is supported by the risk measurement, reporting, and other steps of the enterprise risk management process. By analyzing all of the enterprise's strategies and risky activities via the risk measurement lens, management can improve its decision-making process and ascertain where to invest its limited capital and risk budget most fruitfully. This step is generally underappreciated and is an inexpensive and beneficial by-product of having built a risk framework. The last two boxes or steps (reports and strategic analysis) represent important feedback loops to inform and improve both governance and the portfolio of risky activities that make up the business.

There are many feedback loops in properly executed risk management. In practice, most of these steps overlap most of the time and are being performed simultaneously. Good risk management ties together all these steps from the highest governance decisions to lower-level specifics, such as models, reports, and operational checklists.

The risk environment is dynamic, and many of our notions of probabilities and likely risk outcomes change in ways we probably could not predict. The risk management framework should be robust enough to anticipate this dynamism—to expect the unexpected. It should be evolutionary—flexible enough to grow with a company or individual and its new challenges.

The complexity of the risk management framework depends on the complexity of an organization's risk exposures and their resources. But that does not mean that smaller organizations or individuals should skip the risk management process; they may simply be able to do less, or have to work with external partners to assist with large portions of the framework, or be less formal about the process. Ultimately, the key principles just covered are still important even to the smallest organization, even if the specific components do not get assembled as described.

The Risk Management Process for an Individual

Although an individual has neither the resources nor the organizational overhead of a large business, the importance of risk management is not diminished and the risk management framework still applies, albeit most likely in a scaled-down form. Though nearly all of the essential elements of the process illustrated in Exhibit 1 are still useful, the individual can reduce the recipe to six essential ingredients, consistent with the reduced scope of the individual's risk exposures.

The first step for an individual is much like that shown in Exhibit 1 for the most complex organization: the determination of goals or objectives. This step would include most of the elements associated with risk governance, just without all the organizational complexity.

The next functional step involves choosing investments (or other assets) and identifying their risks. Lacking any risk infrastructure, the individual may at this stage

the illustration in Exhibit 1, the individual is effectively their own governance body and the adviser serves the role of management.

The next steps for the individual are equivalent to the heart of the risk management process: risk monitoring and risk mitigation and management. The individual would first evaluate their risk exposure (like the diamond or decision step in the illustration), then consider various alternative approaches to modify the risk if necessary, followed by implementing the risk management solution (insuring, hedging, trading, etc.).

The final functional step for an individual's risk management process would be evaluation and review. This step is parallel to the back-end of the risk management illustration, the boxes at the bottom right. This process may occur with much less frequency for an individual—but it is no less important.

Each individual should simplify the risk management process as required so that they do not end up considering it "too esoteric and complicated to worry about" and thus ignoring risk management altogether. The potential costs of avoiding risk management are essentially the same for an individual as for a large corporation or a hedge fund, although perhaps with less money involved.

At its core, business and investing are about allocating resources and capital to chosen risks. Understanding which risks drive better outcomes should be one of the goals of risk management, and it makes good *risk* management inextricably linked with good management generally. When effective risk management is truly integrated at all levels of the decision-making process and the overall management process, the organization has developed an effective *risk culture*. This culture generally produces better results than just considering risk issues as a separate afterthought, and, in turn, it produces *much* better results than ignoring risk issues altogether in the decision-making process. For individuals, the adoption of a risk culture should result in a personal awareness of the many types of risks, their rewards, the costs, the relationships between them, and the methods of aligning the risks borne with the risks and outcomes desired. This awareness should lead to better investment return and/or smaller losses for the risk taken, resulting in higher satisfaction.

There are a number of other benefits from establishing good risk management: (1) Most obvious is less frequent surprises and a better notion of what the damage would be in the event of a surprise; (2) more decision discipline leading to better consideration of trade-offs and better risk–return relationships; (3) better response and risk mitigation stemming from more awareness and active monitoring, which should trim some of the worst losses; (4) better efficiency and fewer operational errors from policies and procedures, transparency, and risk awareness; (5) better relations, with more trust, between the governing body and management, which generally results in more effective delegation; (6) a better image or reputation because analysts and investors perceive a company as prudent and value-focused. Together, all these benefits should lead to higher value for the enterprise.

EXAMPLE 1

Risk Management and Risk Management Framework

1. Which of the following is *not* a goal of risk management?

A. Measuring risk exposures
B. Minimizing exposure to risk
C. Defining the level of risk appetite

Hide Solution

level of risk desired and measuring the level of risk taken. Risk management means taking risks actively and in the best, most value-added way possible and is not about minimizing risks.

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2. Which element of a risk management framework sets the overall context for risk management in an organization?

A. Governance
B. Risk infrastructure
C. Policies and processes

Hide Solution

Solution

A is correct. Governance is the element of the risk management framework that is the top-level foundation for risk management. Although policies, procedures, and infrastructure are necessary to implement a risk management framework, it is governance that provides the overall context for an organization's risk management.

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3. Which element of risk management makes up the analytical component of the process?

A. Communication
B. Risk governance
C. Risk identification and measurement

Hide Solution

Solution

C is correct. Risk identification and measurement is the quantitative part of the process. It involves identifying the risks and summarizing their potential quantitative impact. Communication and risk governance are largely qualitative.

4. Which element of risk management involves action when risk exposures are found to be out of line with risk tolerance?

A. Risk governance
B. Risk identification and measurement
C. Risk monitoring, mitigation, and management

Hide Solution

Solution

C is correct. Risk monitoring, mitigation, and management require recognizing and taking action when these (risk exposure and risk tolerance) are not in line, as shown in the middle of Exhibit 1. Risk governance involves setting the risk tolerance. Risk identification and measurement involves identifying and measuring the risk exposures.

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